

I glibly described distressed investing as buying troubled companies' debt, but buying it is only the beginning, not the end game. A phenomenal amount of work is required to achieve a favorable outcome. This debt may be worthless unless and until we manage to clean up the company through a capital restructuring, or an operational turnaround, or more likely, both. The goal is to make the company viable and profitable again with a sustainable financing plan, thereby increasing the value of its securities. In short, the distressed investor is an *activist*. That term is often used for shareholders these days, but it is applicable in a bankruptcy to creditors, who stand to be the new owners. Our authors devote an entire chapter to stockholders-management relationships, in which they denounce the "notorious fact that the typical American stockholder is the most docile and apathetic animal in captivity." (Chap. 44) They list potential conflicts between shareholders and management, including expansion, compensation, dividend policy, information, even business continuation. They urge action: "Alert shareholders will not surrender their right that a corporation should operate in their sole interest!" That is music to the distressed investor's ears; it is their job to design and implement a restructuring plan that redresses the issues that led to failure—and collect a hefty return in so doing. Overleveraged balance sheet, hasty expansion, unprofitable acquisitions, excessive dividends, incompetent management team—all of it needs to be creatively and rigorously addressed in a plan ultimately approved by the bankruptcy judge and creditors.

The writers predicted the immense profit potential of the discipline, highlighting discrepancies between prices and values in receivership, as "obligations sold at a ridiculously low price compared with the current assets available to them." (Chap. 50) This had "previously led us to advise strongly against buying at investment levels *any* securities of a company that is likely to fall into financial difficulties; it now leads us to suggest *that* after these difficulties have